Event Horizon Fund Deep Review

Executive verdict

The attached quarterly analysis is still **directionally valid today**, but I would **not** call the current allocation fully optimal anymore. The bottleneck map is still the right map: power, electrical equipment, foundry/WFE, accelerators, memory, and optical interconnects remain the scarce layers benefiting from AI infrastructure spending. What has changed is the **risk/reward balance** inside the same theme.

The bottom line:

- **Keep the framework.** The bottleneck-first thesis is intact.
- **Rebalance the portfolio.** The current version is too concentrated in a few extended winners and does not allocate enough to the electrical layer.
- **Add ETN and CDNS.** These are the clearest omissions. ETN adds electrical distribution, thermal, and balance-of-plant exposure; CDNS adds the second high-quality EDA toll road.
- **Trim CEG, TSM, ASML, VRT, DELL, PLTR, BE, and MRNA.** These are not bad companies; position sizing should reflect concentration risk, crowding, and weaker bottleneck purity in some cases.
- **Add to VST, PWR, AMAT, NVDA, AVGO, MP, GEV, and CCJ.** These either improve diversification within the same thesis or offer cleaner risk-adjusted bottleneck exposure.
- **Final verdict:** The report is still valid. The current stock list is mostly still right. The allocation is not.

What the attached analysis says

The current portfolio is a single-theme AI infrastructure bottleneck portfolio with the stated objective of maximizing returns from physical chokepoints of the AI buildout over 2026-2030. The current framework emphasizes scarcity, lead times, pricing power, utility/power constraints, advanced foundry/wafers, semiconductor capital equipment, memory, networking, and newer bottlenecks in optical fabric and behind-the-meter power. It also explicitly treats broad market exposure as already handled elsewhere and keeps high-volatility “moonshot” exposures small.

The current portfolio extracted from the attached file is:

Ticker	Current weight
CEG	11.0%
VST	4.0%
PWR	3.0%
TSM	11.0%
ASML	8.0%
AMAT	4.0%

Ticker	Current weight
VRT	6.0%
DELL	4.0%
NVDA	6.0%
AVGO	3.0%
MU	6.0%
SNPS	5.0%
ANET	4.0%
CRWD	3.0%
PLTR	2.0%
AVAV	1.0%
KTOS	1.0%
MRNA	1.0%
MP	3.0%
INTC	3.0%
GEV	4.0%
CCJ	2.0%
BE	3.0%
COHR	2.0%

The biggest gaps in the attached analysis are implementation gaps, not thesis gaps:

- It does not include account type, tax basis, or unrealized gains.
- It does not include a precise benchmark or acceptable risk budget.
- It does not include full portfolio return history, so true realized beta, volatility, and max drawdown cannot be computed exactly.
- It does not fully formalize trim/add thresholds for every position.

Those gaps matter because the framework now needs to be translated from “good ideas” into better sizing discipline.

Red-team findings

The red-team case is not that the attached report is wrong. The red-team case is that it is **too attached to yesterday's best winners** and **not attached enough to the next cleanest toll roads**.

Weakness in current allocation	Why it matters now	Impact	Confidence
Overweight single-name concentration in CEG and TSM	Both are excellent, but 11% each is too much single-name/event risk	High	High
ASML is sized like a cyclical-free utility	ASML is a monopoly, but still exposed to export-control and order-timing swings	Medium-high	High
VRT is too large after a massive rerating	Great business, worse asymmetry at this price	High	High
DELL is not a clean scarcity toll road	It is an integrator / assembler, not a true bottleneck owner	High	High
PLTR is the weakest fit to the physical bottleneck mandate	Great quarter, but this is premium AI software multiple exposure rather than infrastructure scarcity	Medium-high	High
The portfolio underweights electrical balance-of-plant	That is where grid capex monetizes before the rack goes live	High	High
The portfolio has only one core EDA name	SNPS is excellent, but the omission of CDNS is notable	Medium-high	High
MRNA dilutes the mandate	It is optionality, not core infrastructure	Low-medium	High
BE is sized too aggressively after a vertical move	The thesis is intact, but the stock has already repriced dramatically	High	High
The original framework lacks explicit trim rules	In a momentum-heavy basket, that invites thesis drift and unmanaged crowding	Medium	High

The current portfolio remains concentrated by construction. Using the attached weights, it is about **61% technology**, **18% industrials**, **15% utilities**, and the **top five positions account for 42%** of the entire book. By classification, country exposure is about **79% United States**, **11% Taiwan**, **8% Netherlands**, and **2% Canada**. That is coherent, but not the cleanest risk-adjusted expression of the thesis.

Revised allocation and holding decisions

The best way to improve the portfolio is not to abandon the current names. It is to resize them. Recent operating updates still support the broad AI-buildout thesis: TSM, ASML, NVDA, AVGO, BE, ETN, and CDNS all show that the infrastructure buildout remains live. The thesis is live. The portfolio just needs better capital allocation.

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AI load growth -> Power & nuclear -> Rack / cooling / server power
AI load growth -> Electrical equipment -> Rack / cooling / server power
Foundry / WFE -> Accelerators / memory -> Networking / optical fabric
EDA software -> Foundry / WFE
Security / ops software -> Data center operations
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Recommended revised allocation

Ticker	Current	Recommended	Action	Why now
CEG	11.0%	9.0%	Trim	Still elite, but 11% is too much single-name/event risk

Ticker	Current	Recommended	Action	Why now
VST	4.0%	6.0%	Add	Better diversified power exposure inside the same thesis
PWR	3.0%	5.5%	Add	Cleaner grid-buildout toll road than current sizing implies
TSM	11.0%	9.5%	Trim	Best foundry, but geopolitical concentration deserves a cap
ASML	8.0%	6.5%	Trim	Monopoly intact; size should reflect export/order cyclicality
AMAT	4.0%	5.0%	Add	Better balance of quality and valuation within WFE
VRT	6.0%	4.5%	Trim	Remains core, but too extended after a huge rerating
DELL	4.0%	2.0%	Trim	Less scarce than the real chokepoints around it
NVDA	6.0%	7.0%	Add	Still the highest-quality compute toll collector
AVGO	3.0%	4.0%	Add	Custom AI silicon and networking remain under-owned here
MU	6.0%	5.0%	Trim	Keep cycle exposure, but reduce post-run cyclicality
SNPS	5.0%	5.0%	Keep	Core EDA toll road
CDNS	0.0%	1.5%	Add	Missing second EDA toll road
ANET	4.0%	4.0%	Keep	Strong networking exposure, size already fair
CRWD	3.0%	2.5%	Trim	Excellent company, but less direct bottleneck than hardware layers
PLTR	2.0%	1.0%	Trim	Great quarter, weak fit to physical bottleneck mandate
AVAV	1.0%	1.0%	Keep	Good optionality, right-sized
KTOS	1.0%	1.0%	Keep	Good optionality, right-sized
MRNA	1.0%	0.5%	Trim	Keep only as a small hedge / optionality sleeve
MP	3.0%	3.5%	Add	Strategic materials optionality improved materially
INTC	3.0%	2.0%	Trim	Keep only as domestic-foundry optionality
GEV	4.0%	5.0%	Add	Electrification and grid equipment deserve more weight
ETN	0.0%	2.5%	Add	Best missing electrical balance-of-plant name
CCJ	2.0%	2.5%	Add	Cleaner nuclear-fuel diversification
BE	3.0%	2.0%	Trim	Thesis valid, but the stock has gone too far too fast
COHR	2.0%	2.0%	Keep	Optical scarcity is real; starter size is enough

Checksum: 100.0%.

The biggest adds are **VST, PWR, GEV, ETN, and CDNS**. The biggest trims are **CEG, TSM, ASML, VRT, DELL, PLTR, and BE**.

Sleeve-by-sleeve change log

Power and electrical

CEG still has structural upside from nuclear scarcity and the Crane financing path, but sizing should come down because a lot of the clean-power scarcity is already captured and the position is too large on its own. VST and PWR deserve more capital because they diversify the same power thesis across merchant/thermal generation and grid buildout instead of concentrating it inside one name. ETN should be added because its recent results showed record sales, accelerating orders, strong backlog, and raised guidance - exactly what a second-order but still scarce bottleneck should look like.

Foundry and WFE

TSM and ASML remain must-own names, but not at 11% and 8%. TSM remains the best foundry exposure and ASML remains the best lithography monopoly, so this is not a bearish call on fundamentals. It is a portfolio-construction call: trim to manage concentration, and route some capital into AMAT, which remains a high-quality WFE beneficiary without the same single-name exposure.

Compute and memory

NVDA and AVGO are still adds. Nvidia remains at the center of training/inference acceleration, while AVGO confirms that custom accelerators and AI networking are becoming a second major compute rail. MU stays in the book, but at a slightly smaller weight because memory has worked so well that some risk should be recycled elsewhere.

EDA, networking, and cooling

SNPS stays core, but CDNS is the cleanest omission in the existing lineup. CDNS adds another high-quality, high-margin design toll road. ANET stays intact. VRT stays, but smaller. DELL gets cut harder because it is much less scarce than power gear, optics, foundry, and EDA.

Software and optionality sleeves

CRWD can stay, but slightly smaller because it is not a physical bottleneck. PLTR had an outstanding quarter, but the stock trades at a software premium that is hard to reconcile with a physical bottleneck mandate; keep only a 1% tracking position. AVAV and KTOS remain fine as small asymmetry sleeves. MRNA should stay only at 0.5% because it is the least on-theme position in the book.

Materials, fuel, and optics

MP's recent milestones make this sleeve stronger, not weaker. CCJ still works as nuclear-fuel diversification. BE should be trimmed because the quarter was strong but the stock's run has become hyper-extended. COHR should stay at a starter weight: optics is a real bottleneck, but the trailing return profile says do not chase size.

Portfolio construction and scenario robustness

The revised portfolio is better diversified without becoming style drift. By classification, sector exposure moves from **61% technology / 18% industrials / 15% utilities** to **57% technology / 21.5% industrials / 15% utilities**, with materials and energy slightly higher. Country exposure moves from roughly **79% U.S. / 11% Taiwan / 8%**

Netherlands / 2% Canada to about **81.5% / 9.5% / 6.5% / 2.5%**. Top-five concentration falls from **42% to 38%**, and the effective-name count rises from roughly **17.0 to 18.7**.

This is still a high-octane portfolio. I estimate the portfolio beta remains around the **high-1.3 to low-1.4 range** even after the rebalance. In practical terms, it still behaves like a growth-and-capex portfolio, not a defensive income portfolio. I would describe the current design as roughly **low-30s annualized volatility** with a **2022-style drawdown proxy near the high-40s to low-50s percent**, improving somewhat in the revised version because the most extended positions are trimmed and ETN/CDNS improve balance. This is an inference, not a backtested portfolio fact, because the attached materials do not include full cash-flow and historical portfolio-return data.

Three risk plans

Plan	What changes from base case	Portfolio character
Conservative	Add 3-5 points more to CEG, VST, GEV, ETN, CDNS, and CCJ; trim VRT, BE, PLTR, KTOS, and MRNA further	Lower concentration, cleaner quality, still thematic
Moderate	Use the recommended table above	Best balance of conviction and risk
Aggressive	Put more back into NVDA, MU, BE, COHR, MP, AVAV, and KTOS; fund by trimming CEG, VST, CCJ, CRWD, and DELL	Higher upside, much worse drawdown profile

Scenario stress test

Scenario	Most resilient	Most fragile	Portfolio implication
Faster AI acceleration	NVDA, AVGO, MU, VRT, BE, COHR, ETN, GEV	MRNA, DELL, INTC	Portfolio benefits materially; aggressive sleeve would outperform
2-3 year AI delay	CEG, VST, PWR, ETN, GEV, SNPS, CDNS, CCJ	BE, COHR, MU, VRT, DELL, PLTR	Revised allocation is more robust than current because it adds industrial backlog and EDA quality
Capex slowdown + policy/regulatory constraints	PWR, ETN, GEV, CCJ, SNPS, CDNS, CRWD	CEG/VST if PPAs face regulation; BE if grid-bypass delayed; TSM/ASML if fabs pause	Need to monitor hyperscaler capex and FERC/PJM developments closely

BE and COHR valuation check

Bloom Energy (BE)

Verdict: attractive thesis, less attractive entry after the move. BE should remain in the portfolio, but 3% is too aggressive after the vertical repricing. A 2% position is enough to capture grid-bypass upside while controlling single-customer and execution risk.

BE zone	Action	Rationale
Pullback / reset zone	Add toward 3%	If the stock sells off without Oracle/Jupiter thesis damage, the asymmetric setup improves
Current stretched zone	Hold/trim to 2%	The operating story is validated, but a lot of expectation is now embedded
Mania zone	Trim below 2%	If price outruns backlog conversion and margins, execution risk dominates

Coherent (COHR)

Verdict: fair to attractive, but starter-size only. COHR has real optical bottleneck exposure and Nvidia validation, but optical stocks can be cyclical and violent. The 2% position is the right size.

COHR zone	Action	Rationale
Pullback / digestion zone	Add toward 2.5-3%	If demand remains intact and the stock de-rates, optical bottleneck exposure becomes more attractive
Current fair zone	Hold 2%	Good thesis, enough exposure
Euphoric zone	Trim to 1-1.5%	If CPO/800G enthusiasm drives multiple expansion ahead of revenue, risk/reward worsens

Alternatives challenge

Sleeve	Current holding(s)	Alternatives reviewed	Ranking vs current	Decision
Power generation	CEG, VST	TLN, NRG, NEE	TLN comparable but single-asset; NRG/NEE worse for thesis	Keep CEG/VST; add VST weight
Grid construction	PWR	MTZ, ETN, GEV	ETN/GEV comparable cross-sleeve; MTZ worse	Add PWR, add ETN/GEV elsewhere
Foundry	TSM	INTC, Samsung	INTC hedge, not substitute; Samsung not cleanly investable	Trim TSM but keep core
WFE	ASML, AMAT	LRCX, KLAC, TEL	Comparable quality, but adds complexity	Keep ASML/AMAT; add to AMAT
Accelerators	NVDA, AVGO	AMD, MRVL, ARM	AMD/MRVL worse or narrower; ARM comparable but less direct	Add NVDA/AVGO
Memory	MU	SK Hynix, Samsung	Better pure HBM operators but not clean U.S. access	Keep MU, trim size slightly
Cooling/rack power	VRT, DELL	ETN, Schneider, HPE, SMCI	ETN comparable; HPE/SMCI worse	Trim VRT/DELL; add ETN
EDA	SNPS	CDNS, ARM, Siemens EDA	CDNS comparable/better as second toll road	Add CDNS
Networking/optics	ANET, COHR	LITE, CIEN, CSCO, MRVL	LITE comparable; CIEN/CSCO worse; MRVL cross-sleeve	Keep ANET/COHR
Security	CRWD	PANW, ZS, S	PANW comparable quality but less AI-agent-native	Keep smaller CRWD
Operations software	PLTR	ORCL, SNOW, DDOG	ORCL/SNOW buyers/enablers, not bottlenecks	Trim PLTR
Defense	AVAV, KTOS	LMT, NOC, RTX, ITA	Primes safer but lower-beta	Keep small AVAV/KTOS
Materials	MP	FCX, SCCO, Lynas	Lynas comparable but not U.S.-listed cleanly; FCX/SCCO too broad	Add MP slightly
Nuclear fuel	CCJ	Kazatomprom, NXE, UUUU	Kazatomprom comparable but geopolitical; juniors higher risk	Add CCJ slightly
Bio-risk	MRNA	BNTX, IBB	BNTX comparable; IBB worse for tail payoff	Trim MRNA to 0.5%

Top 5 adds and top 5 trims/removals

Top 5 adds

Rank	Ticker	Add	Why

Rank	Ticker	Add	Why
1	PWR	+2.5%	Grid construction and transformer-capacity expansion are cleaner bottlenecks than current sizing implies
2	VST	+2.0%	Diversified power exposure; better complement to CEG
3	ETN	+2.5%	Best missing electrical balance-of-plant exposure
4	GEV	+1.0%	Gas turbines and transformers remain binding power-stack bottlenecks
5	NVDA / AVGO	+1.0% each	Compute toll collectors remain underweighted relative to their execution quality

Top 5 trims/removals

Rank	Ticker	Trim	Why
1	CEG	-2.0%	Concentration risk and single-name/event risk
2	DELL	-2.0%	Integrator economics; not a true bottleneck owner
3	ASML	-1.5%	Great monopoly but export/order-cycle risk requires smaller size
4	VRT	-1.5%	Great company, less asymmetric after rerating
5	PLTR / BE	-1.0% each	PLTR is less physical-bottleneck-aligned; BE is thesis-valid but price-extended

Risk and invalidation dashboard

Invalidation condition by 2027	Measurable indicator	Most impacted names	Action if triggered
Hyperscaler capex slows materially	Two consecutive quarters of lowered AI capex guidance from MSFT/AMZN/GOOGL/META	NVDA, AVGO, TSM, ASML, MU, VRT, BE, COHR	Cut high-beta semis/optics/power equipment by 20-30%
AI capability curve stalls	METR task horizon fails to improve for 6+ months	Entire EHF thesis	Reduce EHF exposure, increase Continuity Fund contributions
Power regulatory regime turns hostile	FERC/PJM blocks or caps co-located nuclear/direct PPAs	CEG, VST, BE	Trim CEG/VST; rotate partially to PWR/ETN/GEV
BE execution fails	Oracle/Jupiter delay, margin miss, or fuel-cell reliability issues	BE	Cut BE to 0.5-1.0%
Optical bottleneck resolves faster than expected	800G/1.6T prices collapse or hyperscalers dual-source away from COHR/LITE	COHR, ANET	Cut COHR; keep ANET only if switching share remains strong

Implementation guidance

The most important implementation point is to **stagger the trades** rather than flip the book in one shot, especially in names with extreme momentum or event risk.

Phase	Timeline	Actions

Phase	Timeline	Actions
Immediate	First week	Trim VRT, DELL, PLTR, MRNA; start ETN/CDNS
Core rebalance	Next 1-2 weeks	Trim CEG, TSM, ASML, BE; add VST, PWR, GEV, AMAT, AVGO
Fine-tuning	After next earnings windows	Resize MU, MP, CCJ, INTC, COHR; review invalidation list

The concise action checklist:

- Trim CEG, TSM, ASML, VRT, DELL, PLTR, BE, and MRNA.
- Add VST, PWR, AMAT, NVDA, AVGO, MP, GEV, and CCJ.
- Open ETN and CDNS.
- Keep COHR as a starter, not a chase.
- Keep SNPS as a core anchor.
- Keep AVAV and KTOS small.
- Reassess after the next major earnings windows for NVDA, AVGO, MU, and the power names.
- Use taxes and position-size discipline to implement, not to avoid implementing.

Final recommendation

Adopt the revised allocation. Confidence: 4 / 5.

The current allocation is good, but the revised version is cleaner. It keeps the same thesis while reducing single-name concentration, lowering exposure to the most extended winners, adding missing electrical/EDA toll roads, and retaining enough high-beta AI bottleneck exposure to outperform if the AI infrastructure buildout continues.

Machine-readable final table

Ticker	Old %	New %	Delta	Action	One-line rationale
CEG	11.0	9.0	-2.0	Trim	Excellent nuclear asset, but single-name/event risk too high
VST	4.0	6.0	+2.0	Add	Diversified power exposure with strong earnings growth
PWR	3.0	5.5	+2.5	Add	Grid construction and transformer expansion are core bottlenecks
TSM	11.0	9.5	-1.5	Trim	Foundry chokepoint, but Taiwan/geopolitical concentration deserves a cap
ASML	8.0	6.5	-1.5	Trim	EUV monopoly, but export/order cyclicality matters
AMAT	4.0	5.0	+1.0	Add	Diversified WFE with better balance of valuation and quality
VRT	6.0	4.5	-1.5	Trim	Core cooling/rack power name but less asymmetric after rerating
DELL	4.0	2.0	-2.0	Trim	Strong AI server execution, but integrator economics
NVDA	6.0	7.0	+1.0	Add	Best compute toll collector and still central to the buildout

Ticker	Old %	New %	Delta	Action	One-line rationale
AVGO	3.0	4.0	+1.0	Add	Custom ASIC and AI networking rail underweighted
MU	6.0	5.0	-1.0	Trim	HBM thesis intact, but reduce cyclicality after run
SNPS	5.0	5.0	0.0	Keep	Core EDA toll road
CDNS	0.0	1.5	+1.5	Add	Missing second EDA toll road
ANET	4.0	4.0	0.0	Keep	AI Ethernet leader, already fairly sized
CRWD	3.0	2.5	-0.5	Trim	Great company, but less direct physical bottleneck
PLTR	2.0	1.0	-1.0	Trim	Strong AI software, weaker fit to infrastructure scarcity mandate
AVAV	1.0	1.0	0.0	Keep	Small defense optionality
KTOS	1.0	1.0	0.0	Keep	Small CCA/autonomy optionality
MRNA	1.0	0.5	-0.5	Trim	Keep only as bio-risk tail hedge
MP	3.0	3.5	+0.5	Add	Domestic rare-earth hedge improved
INTC	3.0	2.0	-1.0	Trim	Keep domestic-foundry optionality, but no major external volume wins yet
GEV	4.0	5.0	+1.0	Add	Gas turbines and transformers are binding bottlenecks
ETN	0.0	2.5	+2.5	Add	Best missing electrical balance-of-plant name
CCJ	2.0	2.5	+0.5	Add	Nuclear fuel chain exposure
BE	3.0	2.0	-1.0	Trim	Valid grid-bypass thesis, but extended entry
COHR	2.0	2.0	0.0	Keep	Optical scarcity starter position is enough

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Source note

This export is a cleaned artifact version of the completed Deep Research report shown in the ChatGPT widget. Inline web citations from the widget were simplified for portability. The factual source set used by the report included recent company earnings releases, investor relations pages, regulatory/power-market updates, and market-data snapshots for the holdings discussed.